BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, ALLAHABAD

Company Petition No. CP (CAA) No. 07 / ALD / 2021
Connected with
Company Application No. CA (CAA).No. 04 /ALD / 2021
(Under Section 230 & 232 of the Companies Act, 2013)

In the Matter of:

1. **PRASHANT COMMERCIAL HOLDINGS LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur- 208022 (U.P.) having Corporate Identification Number U67120UP1983PLC006093 within the jurisdiction of this Tribunal

.....Petitioner /Transferor Company

WITH

2. **THREADS (INDIA) LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur-208022 (U.P.) having Corporate Identification Number U17116UP1983PLC006119 within the jurisdiction of this Tribunal

..... Petitioner Transferee Company

ORDER DELIVERED ON: 10.08.2021

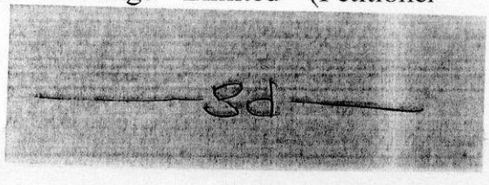
CORAM :
Hon'ble Mr Justice (Retd.) Rajesh Dayal Khare, Hon'ble Member (Judicial)

For the Applicants: Mr. S.K.Gupta, Practicing Company Secretary
For the Central Government: Mr. Kuldeep Singh, AOL
For ROC: Mr. Krishna Dev Vyas, Adv.
For IT Department: Mr.Gaurav Mahajan, Sr. Standing Counsel

Per se: **Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)**

ORDER

1. The Present Petition is filed by Petitioner Companies under Sections 230 & 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Scheme of Amalgamation of Prashant Commercial Holdings Limited (Petitioner



Transferor Company) and Threads (India) Limited (Petitioner Transferee Company) and their respective Shareholders and Creditors **(hereinafter referred to as "Scheme" or "Scheme of Amalgamation").*(A copy of the Scheme has been annexed and marked as Annexure P-1 to the Company Petition CP (CAA) No. 07 / ALD / 2021).***

2. The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Transferor Company and the Petitioner Transferee Company in their respective Board Meetings held on 24th December, 2020.

3. The factual position of the Authorized, Issued, Subscribed and Paid-up Share Capital of the Petitioner Companies as on 31st March, 2020 and as per the Interim Financial Statements for the period ended 30th September, 2020 and 15th December, 2020 is described well in the present Company Petition, which are being reproduced hereunder:

a. The Authorised Share Capital of the Petitioner Transferor Company is Rs. 2,00,00,000/- divided into 15,00,000 Equity Shares of Rs. 10/- each and 50,000 Preference Shares of Rs. 100/- each. The Issued, Subscribed and Paid-up Share Capital of the Transferor Company is Rs. 1,10,00,000/- divided into 11,00,000 Equity Shares of Rs. 10/- each.

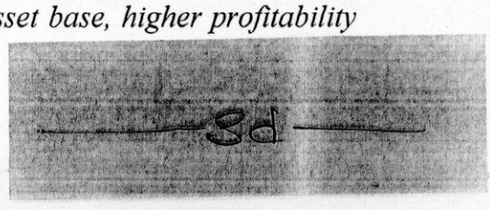
b. The Authorised Share Capital of the Petitioner Transferee Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Transferee Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity Shares of Rs. 10/- each.

4. The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

(a) The Transferor Company is a Holding Company of the Transferee Company.

(b) The Transferor Company and the Transferee Company have common control, common management, common place of business and common group administration.

(c) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability



and net worth will be better placed to access low cost fund for its expansion and diversification requirements.

(d) The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

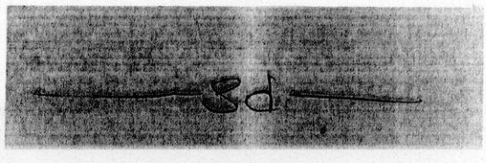
(e) The amalgamation will result in simplification and rationalization of the holding structure and reduction in corporate legal entities.

5. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013.
(Certificates from the respective Statutory Auditors of the Petitioner Companies are annexed and collectively marked as Annexure Nos. P-14 and P-15 to the Company Petition No. CP (CAA) No. 07 / ALD / 2021)

6. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of Shareholding in the abovementioned Petitioner Companies.

7. It has also been stated in the Petition that the Scheme is not prejudicial to the interests of the Shareholders and Creditors of the Petitioner Companies and the Petition is made bona fide and is in the interest of both the Petitioner Companies and their Equity Shareholders, Secured Creditors and Unsecured Creditors as a whole and is also just and equitable.

8. It is also submitted that the Transferor Company is the Holding Company of the Transferee Company, as such, as an integral part of the Scheme, entire Equity share capital of the Transferee Company held by the Transferor Company shall stand cancelled and extinguished and in consideration of the transfer and vesting of undertaking of the Transferor Company, the Transferee Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the 'Transferor Company' whose names are recorded in the Register of Members / Records of Depositories as beneficial owners on the 'Record Date' to be fixed by the Board of Directors of the 'Transferee Company' as under:-
"1 (One) Equity Share of Rs. 10/- (Rupees Ten only) each credited as fully paid-up in the 'Transferee Company' for every 1 (One) Equity Share of Rs.



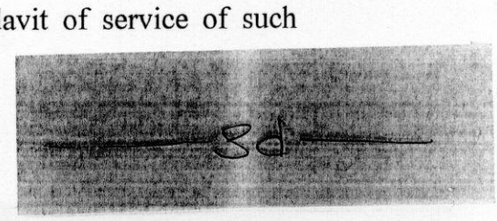
10/- (Rupees Ten only) each fully paid up held in the 'Transferor Company'."

9. The Petitioner Companies have also annexed the Report on Share Exchange Ratio dated 14th December, 2020 given by Mr. Shravan Kumar Vishnoi, a Registered Valuer (Registration No. IBBI / RV / 03 / 2020 / 12739). ***(The Report on Share Exchange Ratio is annexed and marked as Annexure No. P-12 to the Company Petition No. CP (CAA) No. 07/ALD / 2021).***

10. A perusal of the present Petition discloses that initially the Petitioner Companies had filed Company Application No. CA (CAA) No. 04 /ALD / 2021. This Tribunal vide its order dated 10th February, 2021 allowed the Company Application and directed to dispense with the requirement of convening Meetings of the Equity Shareholders of all the Petitioner Companies and also dispensed with the convening of separate Meetings of Secured Creditors and Unsecured Creditors of the Petitioner Transferor Company as there were no Secured or Unsecured Creditors in the Petitioner Transferor Company. This Tribunal further directed to convene the Meetings of the Secured and Unsecured Creditors of Petitioner Transferee Company on Saturday, the 20th March, 2021 at 11.30 A.M. and 1.00 P.M. respectively at the Head office and Works of the Transferee Company at Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.) for the purpose of considering and, if thought fit, approving, with or without modification(s), the Scheme of Amalgamation.

11. This Tribunal has also directed the Petitioner Companies to serve notices alongwith copy of the Application upon the relevant Statutory Authorities pursuant to Section 230(5) of the Act by Registered post, speed post, courier or hand delivery for filing of their representations, if any, within thirty days from the date of receipt of notice and to file the Affidavit of service in compliance thereof.

12. Pursuant to the Order dated 10th February, 2021, the Petitioner Companies served notices upon the Regional Director (Northern Region) Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad and the Income-Tax Department having jurisdiction over the Petitioner Companies and Affidavit of service of such



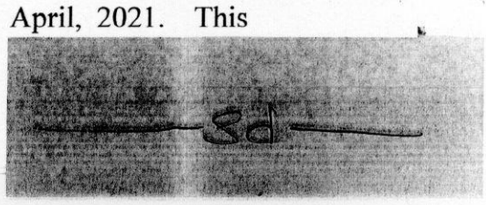
notices was filed by the Authorised Representative of the Petitioner Transferee Company with this Tribunal on 5th March, 2021.

13. As per the directions of this Tribunal dated 10th February, 2021, the Notices of the Secured and Unsecured Creditors' Meetings were dispatched on 15th and 16th February, 2021 by Speed Post to all the Secured and Unsecured Creditors of the Petitioner Transferee Company with a copy of the 'Scheme of Amalgamation', the Explanatory Statement required under Sections 230 and 102 of the Companies Act, 2013 read with Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 , Form of Proxy and Postal Ballot Form. Further as required by the said Order, Notices of the Meetings of the Secured and Unsecured Creditors of the Petitioner Transferee Company were also advertised in Newspapers in 'Business Standard' (English) and 'Rashtriya Sahara' (Hindi) both dated 16th February, 2021. The Affidavit of the Chairman appointed for the Meetings as to service of Notice of meetings upon the Secured and Unsecured Creditors of the Petitioner Transferee Company and publication thereof in newspapers was filed with this Tribunal on 5th March,2021

14. Further, as per the directions of this Tribunal dated 10th February, 2021, the Meetings of the Secured and Unsecured Creditors of the Petitioner Transferee Company were duly convened and held on 20th March, 2021 at 11.30 A.M. and 1.00 P.M. respectively at the Head office and Works of the Transferee Company at Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.) and Mr. Shivendra Bahadur, Advocate, Ms. Aparna Trivedi, Advocate and Mr. Ankit Kumar Singh, PCS acted as the Chairperson, Alternate Chairperson and Scrutinizer respectively for the said Meetings.

15. Subsequent to the Meetings of Secured and Unsecured Creditors of the Petitioner Transferee Company, the Chairperson of the Meetings submitted his reports alongwith Affidavits with this Tribunal on 14th April, 2021 declaring that the Scheme has been approved by the Secured and Unsecured Creditors of the Petitioner Transferee Company with requisite majority.

16. The Petitioner Companies filed Second Motion Petition being Company Petition No. CP (CAA) No. 07 / ALD / 2021 on 16th April, 2021. This



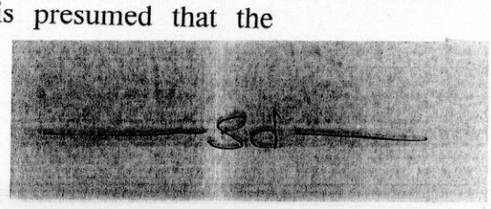
Tribunal vide its Order dated 16th June, 2021 directed the Petitioner Companies to serve notices upon the Regional Director (Northern Region), Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad, Income-Tax Authority and other Sectoral Regulatory Authorities for filing their representation and also directed to effect the paper publication in "Business Standard", in English and "Rashtriya Sahara", in Hindi Editions having circulation in Kanpur, Uttar Pradesh.

17. In compliance thereof, the Petitioner Companies on 15th July,2021, filed Affidavit of service and publication, confirming that notices have been duly published in English Newspaper "Business Standard" and Hindi Newspaper "Rashtriya Sahara", having circulation in Kanpur. The Petitioner Companies have duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) the Official Liquidator, Allahabad; (d) the Income-Tax Departments having jurisdiction over the Petitioner Companies.

18. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi having received a Report from the Registrar of Companies, Uttar Pradesh, Kanpur filed its representation through an affidavit, wherein it did not raise any objection to the Scheme of Amalgamation.

19. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted its report through a representation / affidavit, wherein it has stated that the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or to public interest and that it has no objection to the dissolution of the Transferor Company without winding up pursuant to provisions of Sections 230 & 232 of the Companies Act, 2013 and other applicable sections and rules made thereunder.

20. The Income-Tax Department has not filed any representation within 30 days of service of the notice of the Petition. Hence, pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it is presumed that the



Income-Tax Department has no objection on the Scheme of Amalgamation of the Petitioner Companies.

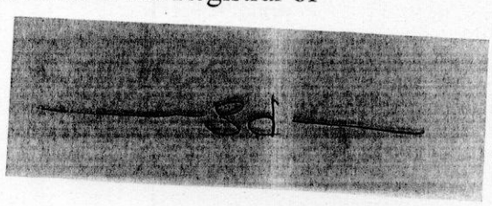
21. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur and Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

22. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

23. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stand approved and sanctioned. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same to be binding on the Shareholders, Secured Creditors and Un-secured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date i.e. 1st day of April, 2020.

24. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income- Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law. Also, the Transferor Company shall stand dissolved without undergoing the process of winding up.

25. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration.



26. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

27. Leave is granted to the Petitioners to file the Schedule of Assets.

28. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

29. Accordingly, the present Company Petition bearing CP (CAA) No. 07 / ALD / 2021 is allowed and stands disposed of.



JUSTICE RAJESH DAYAL KHARE
MEMBER (JUDICIAL)

Dated: 10.08.2021

Swati Gupta
(LRA)